LINA MADZINGA
versus
PALMLEEN INVESTMENTS (PRIVATE) LIMITED
and
OLIVER GWADU
and
MONGAMELI SIBANDA
and
DOESMATTER YASINI
and
INNOCENT MANANGO

HIGH COURT OF ZIMBABWE
MAMBARA J
HARARE; 12 and 18 February 2026

Opposed Application

A. Chinganga, for the applicant
G.R J Sithole, for the respondents

MAMBARA J:

Introduction

[1] This is an application for a declaratory order and consequential relief in terms of s 14 of the High Court Act [*Chapter 7:06*].

[2] The applicant seeks, in substance, a declaration that she is a shareholder in the 1st respondent school undertaking from 23 January 2015, and consequential orders to compel production of financial information, to facilitate an objective determination of the value of her investment, and to secure issuance of a share certificate.

[3] The respondents opposed the application, raising a point *in limine* that the matter is "saddled with material disputes of fact" and ought either to be struck off the roll or referred to trial.

[4] At the commencement of the hearing I advised the parties that I would adopt a "roll-over" approach: they were to address the point in limine together with their submissions on the

merits, because, depending on the court's conclusions on the merits, the preliminary objection might well fall away.

Background

[5] The papers show that the relationship between the parties originated in a proposal inviting the applicant to invest in the respondents' school project. The proposal contemplated that capital contributions would translate into an equity stake.

[6] On the documentary trail, the respondents acknowledged receipt of funds from the applicant as "capital contribution" and discussed shares being allotted to her (for example, a letter dated 13 June 2014 acknowledging receipt of US$8,000 and referring to a shareholding offer, and a later letter dated 7 May 2015 referring to an "agreement" linked to shares).

[7] A payment schedule on the respondents' letterhead reflects that the applicant paid a total of US$43,400, including a payment of US$8,000 on 23 January 2015.

[8] From about 2018 onwards, correspondence records persistent complaints by the applicant that, despite her investment, the shareholding arrangement was not reduced to writing, she was not treated as a shareholder (no meetings, no financial reports), and her rights were not regularized.

[9] Significantly, subsequent correspondence from legal practitioners and the respondents themselves contains express references to the applicant's entitlement to a percentage shareholding (including figures around 18.9% or 19%), and, at other points, the respondents advanced proposals that her contribution was instead to be treated as a loan repayable with interest.

[10] A set of minutes dated 6 February 2025 records a meeting at which the parties discussed the applicant's claim to increased shareholding, the valuation of the school, and possible pathways to resolution. The minutes are signed.

[11] Of particular importance is a letter dated 11 February 2025 on the respondents' letterhead which states, in clear terms, that the respondents "have repeatedly acknowledged [the applicant's] investment of $43,400.00 corresponding to 19% shares" in the school, and

then requests the applicant to provide justification for a higher claim (52%). The letter was written shortly after the meeting of 6 February 2025.

Issues and submissions

[12] Two broad questions arise:

[13] First, whether there exists a real, genuine, and material dispute of fact incapable of resolution on the papers, such that the matter must be struck off or referred to trial.

[14] Second, whether the applicant has satisfied the requirements for a declaratory order under s 14 of the High Court Act, and whether the consequential relief sought ought to be granted.

[15] For the applicant, *Ms Chinganga* submitted that there are no material disputes of fact because the dispositive issues lie in the documentary record—letters, schedules, and signed minutes. She argued that the respondents repeatedly acknowledged an investment that translated into shares, and that any later attempt to re-characterize the investment as a loan was a unilateral shifting of position that the applicant never accepted.

[16] On the merits, *Ms Chinganga* relied on s 14 of the High Court Act and submitted that the applicant is plainly an "interested person" asserting existing rights that require determination, namely shareholder rights arising from her investment.

[17] She further submitted that the respondents' own documents—particularly the letter of 11 February 2025 acknowledging "19% shares"—cured any alleged disputes, because what remains is not the existence of a shareholding relationship but the proper quantification and regularization of that relationship, which can be handled through the consequential relief.

[18] For the respondents, *Mr Sithole* opposed the application. He submitted that the applicant seeks to be declared a shareholder with effect from 23 January 2015, but that the matter is riddled with disputes, including:

[19] the nature of the agreement (share subscription versus loan/creditor relationship);

[20] whether the terms of the agreement were performed by the applicant; and

[21] whether the applicant acquired shares or is only a creditor entitled to a refund.

[22] Counsel argued that a party cannot properly allege an oral agreement and seek to prove it finally by way of application proceedings where disputes of fact are foreseeable; such matters should be brought by way of action.

[23] He further submitted that the applicant's reliance on various documents revealed contradictions: at one stage she demanded her money back, then later asserted shareholder status, and this inconsistency itself generated material disputes of fact.

[24] Lastly, on specific performance, counsel contended that performance must be in forma specifica, and that on the respondents' version the bargain was for a fixed payment (said to be US$100,000) for a fixed share allocation (said to be 20%), and that the applicant's failure to pay the full amount was a fatal breach. If the court ordered any shareholding "proportional" to payments, it would be making a new contract for the parties.

The law

[25] Section 14 of the High Court Act empowers this court, in its discretion and at the instance of an "interested person", to inquire into and determine an existing, future, or contingent right or obligation.

[26] The authorities emphasize two related points. First, the applicant must show a direct and substantial interest in a right (existing, future, or contingent) that may be prejudicially affected by the court's decision; the court does not decide abstract questions unconnected to such rights.

[27] Second, while disputes often exist between parties, the existence of an actual controversy is not, in itself, a statutory prerequisite to the exercise of the declaratory jurisdiction; the key is whether there are rights requiring determination and whether the court should, as a matter of discretion, determine them.

[28] On disputes of fact in motion proceedings, the starting point in our law is that the court must first ascertain whether there is a real dispute of fact. The courts are enjoined to take a robust and common-sense approach where possible, with the prime consideration being whether the matter can be decided on the papers without injustice.

[29] A material dispute of fact arises where the respondent traverses the applicant's material allegations in such a manner that the court has "no ready answer" in the absence of further evidence.

[30] Importantly, the mere allegation that disputes might exist is not conclusive; the respondent must set out its version clearly and in cogent detail. Bare denials do not suffice.

[31] Where a genuine dispute exists, the court has a discretion in how to proceed. Depending on circumstances, the court may dismiss or strike off the application for procedural unsuitability, or it may adopt mechanisms that resolve what is necessary without the cost and delay of a full trial where justice so requires.

[32] The Companies and Other Business Entities Act [*Chapter 24:31*] contains statutory mechanisms directly relevant to shareholder disputes. The register of members is prima facie evidence of matters directed or authorized to be entered therein.

[33] The register must, subject to statutory limitations, be open to inspection by members, and copies must be provided within prescribed periods.

[34] Crucially, the Act provides for rectification of the register by the court where a person's name is entered without sufficient cause or omitted, or where there is default or unnecessary delay in recording cessation of membership.

[35] On such an application, the court may decide any question relating to the title of any person to have their name entered or omitted and may decide any question necessary or expedient for rectification.

[36] The Act further requires that, within two months after allotment of shares (or after a transfer is lodged), the company must complete and have ready for delivery the share certificates (subject to exceptions), and a compliant certificate is *prima facie* evidence of title.

[37] In the context of contractual enforcement, our law recognizes that courts do not rewrite contracts. A freely concluded bargain is generally enforced according to its terms; courts will not relieve parties from the consequences of an agreement merely because later they consider it onerous.

[38] At the same time, our law also recognizes that a party cannot permissibly "blow hot and cold" by adopting inconsistent positions to suit convenience; the doctrine of approbation and reprobation guards against such inconsistency.

[39] In matters of repudiation, an innocent party has an election: to accept repudiation (and treat the contract as at an end) or to reject it and hold the other party to the bargain, provided the innocent party discharges its own obligations.

[40] As to whether strict "in forma specifica" compliance is necessary in a particular contract setting, that depends on the parties' intention as expressed in the governing agreement, especially where a condition precedent (suspensive condition) is involved.

Analysis and findings

[41] I turn first to the point *in limine*.

[42] The respondents framed the disputes as relating to the "type of agreement", "performance", and whether the applicant is a shareholder or creditor. I accept that these are, in the abstract, questions capable of generating disputes.

[43] However, the question is not whether disputes can be imagined. The question is whether, on this record, there exists a real, genuine, and material dispute incapable of resolution on the papers, bearing in mind that the opposing party must set out its case in clear and cogent detail, and that bare denials do not create a material dispute.

[44] In my view, the alleged disputes are largely answerable from the respondents' own documentary admissions.

[45] The respondents' letter of 11 February 2025 states that they "have repeatedly acknowledged [the applicant's] investment of $43,400.00 corresponding to 19% shares" in the school, and then asks her to justify a higher percentage claim. This statement matters not as advocacy but as an admission against interest. It is not consistent with the respondents' litigation posture that the applicant is merely a creditor with no shareholding claim.

[46] The minutes of the 6 February 2025 meeting likewise record discussions premised on the applicant having an investment percentage, and the need to agree the route to compensation/valuation. Whatever side-issues were discussed (such as possible

restructuring), the central theme is not "loan repayment", but recognition of an equity-linked investment and the parties' failure to regularize the shareholding and its incidents.

[47] In addition, a letter by the applicant's legal practitioners dated 28 September 2020 records that the respondents acknowledged that the applicant was entitled to 18.9% shares. The respondents did not, in this application, provide a cogent explanation for why such correspondence would exist if the true relationship were always and only a debtor-creditor relationship.

[48] Against these admissions, the respondents placed reliance on documents and proposals where, at certain times, the respondents proposed refunding the applicant's contribution, and where a schedule calculated interest on the sums advanced. The respondents argued that this demonstrated that the applicant herself treated the contribution as a loan and that her pleadings were contradictory.

[49] I do not accept that settlement overtures necessarily amount to a concession that the underlying legal relationship is one of loan. It is common in commercial disputes for parties to explore repayment as a settlement route even where the claimant asserts a stronger proprietary or equity-based entitlement. The key remains whether such overtures matured into a binding compromise. On this record, the applicant did not accept the re-characterization of her contribution as a loan; she persisted in demanding that the shareholding agreement be reduced to writing and that her shareholder rights be recognized.

[50] Further, to the extent that the respondents proposed refund while also acknowledging that the same US$43,400 corresponds to a share percentage (19%), the inconsistency lies more with the respondents' changing positions than with the applicant's. The respondents cannot, without legal consequence, simultaneously present the same investment as a loan repayable with interest and, at the same time, as capital corresponding to an equity stake, depending on which characterization best suits their immediate purpose. Such conduct falls within the mischief targeted by the rule against approbation and reprobation.

[51] I therefore find that there is no genuine dispute on the core question whether the parties' relationship included a shareholding dimension arising from the applicant's investment; this is effectively admitted. What remains disputed is the proper quantification and regularization

of her shareholding and the consequences flowing from it. Those questions are legally and practically capable of resolution through the consequential relief sought, including recourse to statutory mechanisms for inspection and rectification, and, if necessary, an independent audit process.

[52] The respondents argued that because an "oral agreement" is alleged, motion proceedings are inherently inappropriate. I do not accept the proposition as an inflexible rule. Our law requires the court to identify whether the dispute is real and material; where admissions and documents render the issue essentially legal or arithmetical, the matter may be resolved on the papers without injustice.

[53] Indeed, the consequence of upholding the point *in limine* here would be to delay resolution and multiply costs in a matter where the parties' own documents already demonstrate the existence of an investment-to-shares arrangement, and where the real sticking point is quantification and regularization.

[54] I therefore dismiss the point *in limine.*

[55] I turn to the merits under s 14.

[56] The applicant is plainly an "interested person". She asserts a direct and substantial interest in shareholder rights—rights that include being recognized in the company's register, participating in governance to the extent permitted, and accessing corporate information. Such rights are existing (if she is already a shareholder) or, at minimum, contingent upon determination of her title to membership.

[57] This is not a request for an academic opinion. The consequences of non-recognition are concrete: denial of information, denial of participation, and the erosion of the value of an equity investment over time.

[58] In the exercise of the discretion under s 14, I consider the following decisive:

[59] First, the respondents' written acknowledgments (including the 11 February 2025 letter) establish that the applicant invested US$43,400 and that the respondents themselves equated that figure with a share percentage (19%).

[60] Second, the respondents' failure to reduce the shareholding arrangement into writing, despite repeated requests and discussions, cannot be used as a shield to defeat the applicant's

substantive rights, particularly where the respondents have continued to treat her investment as capital linked to shares.

[61] Third, whatever the original proposal figures were (whether framed as US$100,000 for 20%, or later adjustments), the respondents' own later position—"US$43,400 corresponds to 19% shares"—demonstrates that the arrangement was not treated as a rigid, once-off, all-or-nothing subscription with no proportionality. This case is therefore distinguishable from cases where a written agreement contained a clear suspensive condition requiring strict performance in a specified manner before the contract could come into operation.

[62] Fourth, the respondents' contention that granting a declaration would amount to the court rewriting the contract is not well taken in the circumstances. I accept the general principle that courts do not rewrite bargains.

But here, the declaration is grounded not on judicial invention but on the respondents' own admissions that the applicant's investment corresponds to a defined share percentage, and on the statutory corporate framework that requires the register to reflect true membership and provides for rectification where it does not.

[63] Fifth, the respondents' approach—oscillating between "you are a shareholder" and "you are a creditor; we will refund"—is inconsistent. Our law does not permit litigants to blow hot and cold in that fashion, especially where the effect is to deprive the other party of rights while retaining the benefits of the other party's performance.

[64] Sixth, to the extent that the respondents suggested the arrangement was repudiated and that the applicant breached by not paying further sums, the documentary record shows that the applicant's cessation of payment was linked to the respondents' failure to regularize the shareholding position and to treat her as a shareholder. On repudiation principles, an innocent party has an election to reject repudiation and insist on performance. The applicant did not accept a "loan repayment" path as a compromise; she elected to insist on recognition of her equity rights.

[65] I therefore conclude that this is a proper case for the exercise of the discretion under s 14 in favour of granting declaratory relief and consequential orders.

[66] I also accept the applicant's submission that a referral to trial would not serve the interests of justice. The essential disputes are either illusory (in light of admissions) or relate

to accounting quantification, which is more efficiently addressed by structured disclosure and, if necessary, independent audit. A trial would, in practical terms, return the parties to the same task: determining the value of the investment and the proper share allocation—matters that can be determined through the consequential relief without the delay and expense of viva voce proceedings.

[67] Finally, the consequential relief sought is consistent with the corporate statutory scheme. The Act contemplates inspection of the register and empowers the court to compel it; it also empowers the court to rectify the register and decide questions necessary or expedient to do so.

[68] Once membership is determined, the company has statutory duties regarding issuance and readiness of share certificates, and such certificates are prima facie evidence of title.

Order

[69] In the result, the application succeeds. The following order is granted:

[70] It is declared that the applicant is a shareholder in the 1st respondent with effect from 23 January 2015.

[71] It is declared that the applicant's capital contribution in the sum of US$43,400 constitutes the basis of her shareholding for purposes of determining the value of her investment from 2015 to date and the correct number and/or percentage of shares to be allotted to her.

[72] Within ten (10) days of service of this order, the respondents shall provide to the applicant's legal practitioners, and shall make available for inspection and copying, all documents reasonably necessary to quantify and regularize the applicant's shareholding, including but not limited to:

[73] Audited financial statements of the first respondent from 2015 to date (or, where audited statements are not available, management accounts together with source records);

[74] Bank statements for accounts operated for the school undertaking from 2015 to date;

[75] The register of members and any share allotment records, share certificates, or allotment resolutions relevant to the applicant's claimed shareholding, in accordance with the statutory duty of inspection.

[76] In the event of non-compliance with paragraph [72] within the stipulated period, a forensic auditor shall be appointed to determine:

[77] The total capital contributions made by the applicant from inception to date;

[78] the valuation basis applied by the respondents in equating the applicant's investment to a share percentage (including the basis for the 18.9% / 19% figures recorded in the correspondence);

[79] the correct number and/or percentage of shares that ought to be allotted to the applicant as at 23 January 2015, and any adjustments warranted thereafter by reference to the parties' dealings and the company's records.

[80] The parties shall, within seven (7) days of the lapse of the period in paragraph [72], agree in writing on the appointment of a registered public auditor. Failing agreement, the President (or nominee) of the Public Accountants and Auditors Board shall appoint a suitably qualified auditor.

[81] The appointed auditor shall complete the assignment and deliver a written report to the parties within forty-five (45) days of appointment, unless extended by agreement or by order of court on good cause shown.

[82] Upon receipt of the auditor's report, and within ten (10) days thereafter, the respondents shall:

[83] rectify and/or cause rectification of the register of members so that the applicant is duly entered as a member reflecting the shareholding determined in terms of paragraph [79], in accordance with the court's power to order rectification and determine questions necessary or expedient thereto;

[84] issue to the applicant a share certificate (or certificates) reflecting her shareholding, consistent with the statutory framework governing evidence of title to shares and readiness for delivery of certificates.

[85] The respondents shall bear the costs of the forensic audit in the first instance, subject to the auditor's liberty to recommend an alternative allocation of such costs in the report if justice so requires, and subject to the court's ultimate discretion on taxation and final allocation.

[86] The respondents shall pay the costs of suit jointly and severally, the one paying the others to be absolved, on the legal practitioner and client scale, due to their inconsistent positions and the unnecessary multiplication of proceedings occasioned thereby.

MAMBARA J……

Phillips Law, applicant's Legal Practitioners
Maposa & Ndomene, respondents' legal practitioners